

Inventory

Department Binder

OPERATIONS / KNOWLEDGE & TRAINING

Purpose-built reference for department responsibilities, procedures, standards and training.

This edition preserves the supplied operating content. Historical material, pending approvals and missing documents remain identified where present. Formatting is not policy approval.

US Letter • Binder margin • Searchable text • Linked contents

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Inventory Binder

Core Pages

- Inventory Charter
- Inventory Ownership and Handoffs
- Inventory Standards Register
- Inventory Workflow Maps
- Inventory SOP Forms and Training Index

Detailed Current Content

- Cycle Count Standards
- Cycle Counting Standard Operating Procedure
- Inventory Department Alignment (not supplied)
- JD Inventory Supervisor (not supplied)

Shared Operations

- Operations Binder
- Shared Operating Standards

Inventory Charter

Purpose

Maintain reliable physical and system inventory so Receiving, Fulfillment, Transportation, Purchasing, Accounting, and customers can act on accurate information.

Scope

- Cycle counts, recounts, variance research, and adjustment preparation
- Inventory adjustment approval and control separation
- Product dates, rotation, condition, holds, and QC
- Location, slotting, no-location, and UPC/item-data controls
- Lost sales, negatives, substitutions, activation/discontinuation, and deductions
- Returns, damages, closeouts, credits, and disposition
- Inventory-related reporting and cross-department escalation

Boundaries

- Receiving owns normal inbound processing; Inventory supports exceptions, audits, and coaching.
- Fulfillment owns normal picking; Inventory resolves stock, location, quantity, and product-integrity exceptions.
- Equipment certification and maintenance are not inventory processes merely because Inventory may track equipment records.

Inventory Ownership and Handoffs

Warning: Working ownership model This reflects the active August 25, 2026 alignment work. It should be approved before being issued as a final organization chart.

Standard role	Montana	Idaho	Primary control
Inventory Manager	Roudy	Jacque	Priorities, accountability, approvals, escalation, SOPs, and KPIs
Inventory Control & Quality Specialist	Ian	Terry	Daily control, dates, rotation, QC, locations, and receiving exceptions
Inventory Auditor	Mitch	Shelly	Counts, research, reports, adjustment preparation, and verification
Returns Specialist	Jim K currently	Braxton	Return intake, documentation, disposition, credits, and damages
Inventory Coordinator	Lee	Vacant/interim coverage	Customer and administrative coordination, special orders, equipment records, and tracking

Control Separation

1. IC/QC identifies physical condition or discrepancy.
2. Auditor counts, researches, and prepares the adjustment.
3. Inventory Manager reviews and approves the adjustment.
4. Returns handles physical disposition when returns or damages are involved.

Adjacent Processes

- MT Receiving remains with Nanette; Inventory supports exceptions.
- Cash & Carry remains with Jeff Real; Mitch and Leah are backups.
- Equipment certifications: Jeff owner, Brenden backup, Mitch second backup.
- Maintenance remains outside Inventory.

Handoffs

- Receiving → Inventory: receipt exceptions, holds, dates, conditions, quantities, and locations.
- Fulfillment → Inventory: shorts, no-picks, damages, mismatch, negative inventory, and no-location issues.
- Transportation → Inventory>Returns: delivery returns, damages, and documented discrepancies.
- Inventory → all departments: verified correction, system update, disposition, and closure communication.

Inventory Standards Register

Standard	Control	Current documented measure
Count objectivity	Blind initial count	Every scheduled count
Variance verification	Independent recount and research before adjustment	Every material discrepancy
Adjustment control	Document reason and separate preparation from approval	Every adjustment
Resolution timing	Count, research, approve, and complete correction	No later than two weeks from count
Count completion	Complete approved daily, weekly, monthly, and quarterly schedule	100% of approved schedule
Location accuracy	Correct no-location, mis-slot, and pick/overstock discrepancies	Target pending
Product integrity	Inspect dates, rotation, condition, holds, and quarantine	Target pending
Returns and damages	Document intake, research, adjustment, credit, and disposition	Target pending
Inventory accuracy	Use an approved calculation and system of record	Target pending; existing generic 98% should not be adopted without approval

Required Evidence

- Count date, time, counter, item, location, and physical quantity
- Recount and research notes
- Cause or best-supported cause category
- Adjustment value, reason code, preparer, approver, and completion date
- Corrective action for recurring or material errors

Known Cleanup

- The existing cycle-count SOP contains older names and spelling variations that conflict with the current alignment work.

- The generic ABC frequencies and tolerance percentages in Cycle Count Standards need operational approval before they are treated as current rules.

Inventory Workflow Maps

Cycle Count to Closure

Cycle Count to Closure

Schedule blind count

Next: Complete physical count

Complete physical count

Next: Variance found?

Variance found?

No: Document and close; Yes: Independent recount

Document and close

Independent recount

Next: Research movements locations and source process

Research movements locations and source process

Next: Prepare documented adjustment

Prepare documented adjustment

Next: Manager review and approval

Manager review and approval

Next: Process correction

Process correction

Next: Verify closure within two weeks

Verify closure within two weeks

Return or Damage

Return or Damage

Return or damage identified

Next: Segregate and document

Segregate and document

Next: IC or Returns verifies condition

IC or Returns verifies condition

Next: Auditor researches inventory impact

Auditor researches inventory impact

Next: Returns prepares credit or disposition

Returns prepares credit or disposition

Next: Adjustment approval required?

Adjustment approval required?

Yes: Manager approves; No: Process authorized disposition

Manager approves

Next: Process authorized disposition

Process authorized disposition

Next: Verify system physical and customer closure

Verify system physical and customer closure

Inventory SOP, Forms, and Training Index

Current Procedures and Working Sources

- Cycle Counting Standard Operating Procedure
- Cycle Count Standards
- Inventory Department Alignment (not supplied)
- JD Inventory Supervisor (not supplied)

Required Records

- Approved cycle-count calendar
- Blind count and recount records
- Variance research and adjustment approval
- Negative, lost-sales, no-location, and discontinued-item reports
- Date-code, QC, hold, and quarantine records
- Return, damage, credit, donation, and disposition records
- Activation/discontinuation, substitution, and deduction tracking
- Training and authorization records

Training Controls

- Blind counting and recount independence
- Transaction and movement research
- Adjustment roles and authorization
- Location, item, UPC, date, rotation, and QC controls
- Return/damage intake and disposition
- Root-cause analysis and corrective action
- Cross-department communication and closure

Build Queue

- [] Issue one approved cross-warehouse cycle-count SOP.
- [] Publish the approved count schedule by warehouse and category.
- [] Link the adjustment authority matrix and reason codes.
- [] Finalize the Returns Specialist transition and Idaho coordinator coverage.

Cycle Count Standards

Purpose

To establish standardized procedures for conducting cycle counts that ensure inventory accuracy, minimize discrepancies, and maintain operational efficiency within the department.

Frequency & Scheduling

- **High-value items (A items):** Count monthly or quarterly depending on turnover rate
- **Medium-value items (B items):** Count semi-annually
- **Low-value items (C items):** Count annually
- **Fast-moving items:** Prioritize for more frequent counts to catch discrepancies early
- **Schedule counts during off-peak hours** to minimize disruption to operations

Preparation Standards

- Ensure all pending transactions are completed and recorded before starting a count
- Verify that the area to be counted is organized and clearly labeled
- Assign trained personnel to conduct counts
- Provide counters with appropriate tools: scanners, count sheets, or mobile devices
- Review previous count results and discrepancies for items being counted

Counting Procedures

1. **Initial Count:** Conduct blind counts (without reference to system quantities) to ensure objectivity
2. **Verification:** Compare physical count to system records
3. **Recount:** If discrepancy exceeds tolerance threshold, perform a second independent count
4. **Documentation:** Record all counts, including date, counter name, location, item details, and quantities
5. **Investigation:** For significant variances, investigate root causes before adjusting inventory

Accuracy Tolerance Thresholds

- **High-value items:** $\pm 0.5\%$ variance
- **Medium-value items:** $\pm 1\%$ variance
- **Low-value items:** $\pm 2\%$ variance
- Any discrepancies exceeding these thresholds require supervisor approval before adjustment

Adjustment & Resolution

- All inventory adjustments must be documented with reason codes
- Obtain appropriate authorization based on variance value (supervisor for minor, manager for major)
- Update system records promptly after approval
- Implement corrective actions to prevent recurring discrepancies

Performance Metrics

- **Inventory accuracy rate:** Target 98% or higher
- **Cycle count completion rate:** 100% of scheduled counts completed on time
- **Average time per count:** Track to identify inefficiencies
- **Discrepancy rate:** Monitor trends and identify problem areas
- Review metrics monthly and report to management

Training Requirements

- All personnel conducting cycle counts must complete initial training on procedures and systems
- Annual refresher training required for all counters
- Document training completion and maintain records

Continuous Improvement

- Conduct quarterly reviews of cycle count procedures and accuracy trends
- Solicit feedback from counting personnel on process improvements
- Implement lessons learned from root cause investigations
- Update standards as needed based on operational changes or best practices

Responsibilities

- **Department Manager:** Overall accountability for cycle count program and accuracy targets
- **Inventory Supervisor:** Schedule counts, assign personnel, review results, and approve adjustments
- **Cycle Count Personnel:** Execute counts according to standards, document findings, and report discrepancies
- **Quality Control Team:** Audit cycle count processes and validate accuracy of procedures

Cycle Counting Standard Operating Procedure

1. Purpose

This SOP establishes guidelines for conducting cycle counts in Warehouse 1 (WH1) and Warehouse 2 (WH2) to ensure accurate inventory management and control.

2. Scope

This procedure applies to all inventory items across both warehouses, including cigarettes, stamps, rolled chew, Zyn products, and frozen goods.

3. Responsibilities

WH2

- Cycle Count Execution: Jessica
- Inventory Adjustments: Jackie
- Stamp Counting (WH2): Jeff
- Stamp Tracking: Mandy

WH1

- Cycle Count Execution: Mitch
- Inventory Adjustments: Mitch/Roudy
- Stamp Counting and Tracking: Roudy / Shelby / Mitch
 - Sheehan counts on Thursdays unless it's end of month. Then we adjust accordingly
 - NID counts cigs on Friday.

4. Schedule

Warehouse 1 (WH1)

Week 1:

- Monday-Wednesday: Quarterlies
- Thursday: Cigarettes
- Friday: B Section

Week 2:

- Monday-Wednesday: Quarterlies
- Thursday: Cigarettes
- Friday: BN Section

Warehouse 2 (WH2)

- Monday: Quarterlies
- Tuesday: Rolled Chew and Zyn Products
- Wednesday: Quarterlies
- Thursday: Quarterlies
- Friday: Cigarettes and Stamps

Cycle Count Review

- Warehouse Managers will briefly review Cycle counts on a weekly bases
- Operations Directory and warehouse managers will deeply review the reports at the beginning of every month.

5. Stamp Counting Frequency

- WH1: Weekly counts required
- WH2: Monthly counts required

6. Special Considerations

Freezer Area

Due to space constraints and crowded conditions, extra attention must be given when counting frozen inventory in WH2:

- Plan counts during low-traffic periods
- Ensure proper organization before counting
- Document any accessibility issues

7. Inventory Adjustment Protocol

- In high priority area's it's imperative to make adjustments as soon as we can to help reconcile inventory and find.
 - We have to adjust after that second week of discrepancies at the latest.
- All adjustments must be documented, approved, and discussed.
- Returns processing must be completed before cycle counting affected areas
 - How are we reconciling returns on trucks or processed returns?

8. Quality Control

QC activities should be conducted in the morning hours to ensure accuracy and minimal disruption to operations.

9. Documentation

All cycle counts must be documented with:

- Date and time of count
- Counter's name
- Area/items counted
- Discrepancies found
- Adjustments made

10. Training

All personnel involved in cycle counting must be trained on:

- Proper counting procedures
- Documentation requirements
- Adjustment protocols
- Area-specific considerations

The calendar must be maintained according to Doyle's Wholesale standards. At Sheehan Majestic, we prioritize regions for counting on a rotating basis to ensure complete coverage.

The returns process requires verification to confirm all products are properly stored after credit processing.

We also need to be counting the Cigs in the grey cabinets.